

Hurst v. Leimer

26 O.R. (3d) 760

[1995] O.J. No. 3724

Court File No. 92-CQ-30666

Ontario Court (General Division),

Cumming J.

November 30, 1995

Insurance -- Automobile insurance -- No-fault regime
-- Ontario plaintiff injured in motor vehicle accident in
British Columbia -- Both vehicles operated by British Columbia
residents -- Plaintiff travelling as passenger in one of
vehicles -- Plaintiff bringing action in Ontario -- Section
266(1) of Ontario Insurance Act being substantive rather than
procedural -- Substantive law of *lex loci delicti* applying
-- Section 266(1) of Insurance Act not barring plaintiff's
action -- Insurance Act, R.S.O. 1990, c. I.8, s. 266.

The plaintiff, a resident of Ontario, was injured in a motor vehicle accident in British Columbia. He was a passenger in a car owned and operated by a resident of British Columbia when the car was struck from behind by the motor vehicle of the defendant, also a British Columbia resident. The plaintiff sued the defendant in Ontario. The defendant admitted that he was responsible for the accident, but moved under rule 22.01 of the Rules of Civil Procedure for the determination of a question of law, namely, whether s. 266 of the Insurance Act applied to the action. The defendant also moved for a determination under s. 266(3) of the Act whether the plaintiff had sustained permanent serious impairment of an important bodily function caused by continuing injury which was physical in nature. The second motion was made after the verdict of the jury was rendered but prior to any for motion for judgment to be entered in accordance with that verdict.

Held, the action should be allowed.

Section 266(1) of the Act should be interpreted so as to: be consistent with the choice of law rules as settled by the Supreme Court of Canada; effectuate the underlying legislative purpose; and be consistent with the requirements of the Canadian Constitution.

The Supreme Court has laid down the rule that interprovincial torts are governed exclusively by the law of the place of the tort, being where the wrongful activity occurred. The *lex loci delicti* applies to the definition of the obligation and its consequences, that is, the rights and liabilities of the parties. The rights of the parties are determined by the substantive law of the foreign jurisdiction whereas all matters of procedure are governed exclusively by the *lex fori*. The bar in s. 266(1) of the Act is substantive rather than procedural. The law that defines the character and consequences of the tort is therefore the *lex loci delicti*, in this case, the law of British Columbia.

The power of the legislature to enact the Insurance Act fell under s. 92(13) of the Constitution Act, 1867 ("Property and Civil Rights in the Province"). The territorial reach of provincial powers under s. 92 is limited. Legislation should not be read in a manner that would make it unconstitutional. Section 266(1) of the Insurance Act is therefore to be read in a manner consistent with s. 92(13) of the Constitution Act, 1867, and consistent with the territorial limitations of the Ontario legislation. If s. 266(1) can be construed reasonably as not affecting rights properly governed by British Columbia law, then the narrower construction is the preferred one.

The legislative purpose of the Insurance Act was to introduce a scheme of compensation which provides for the exchange of rights wherein the accident victim loses the right to sue unless coming within the statutory exceptions, but receives more generous first party benefits, regardless of fault, from his or her own insurer. Various provisions of the Act evidence that the reach of the Act was intended to be confined to

regulating Ontario insurers and motor vehicle policies issued in Ontario. In respect of accidents outside Ontario, the word "automobile" is used in the Act to apply only to those automobiles that are covered by issued motor vehicle liability policies which come within the limits of the constitutional reach of the Ontario legislature under s. 92(13) of the Constitution Act, 1867. There was no evidence to suggest that the plaintiff was an occupant of an "insured automobile"; in fact, a reasonable inference to the contrary could be made. There was no evidence to suggest that either the plaintiff or the defendant was an "insured person"; again, a reasonable inference to the contrary could be made. There was no evidence that the plaintiff received any benefits payable under the Ontario no-fault scheme. To interpret s. 266 as barring the plaintiff's action would defeat the overall purpose of the scheme underlying s. 266. The plaintiff would receive no statutory first-party benefits from an insurer, he would be denied benefits through his tort action (unless he came within an exception to s. 266(1)), and the defendant (or his insurer) would receive a windfall. Section 266(1) did not prevent the plaintiff from bringing a successful action in Ontario in respect of the tort committed by the defendant in British Columbia.

If that conclusion was incorrect, the defendant's second motion had to be dealt with. There was evidence that the plaintiff had chronic involuntary muscle spasms or myofascial strain of the lower and upper back and neck caused by an injury to the facet joints. The plaintiff was a fairly highly ranked squash player, and had hoped for a career as a squash professional. The injury prevented him from doing so, and also prevented him from playing the violin, which before the accident had been a source of pleasure and extra income for him. As a result of the accident, the plaintiff had sustained permanent serious impairment of an important bodily function caused by continuing injury which was physical in nature.

Tolofson v. Jensen, [1994] 3 S.C.R. 1022, 120 D.L.R. (4th) 289, 100 B.C.L.R. (2d) 1, 175 N.R. 161, [1995] 1 W.W.R. 609, 22 C.C.L.T. (2d) 173, 32 C.P.C. (3d) 141, 7 M.V.R. (3d) 202, apld

Other cases referred to

243930 Alberta Ltd. v. Wickham (1990), 75 O.R. (2d) 289, 73 D.L.R. (4th) 474, 40 O.A.C. 367, 14 R.P.R. (2d) 95 sub nom. Dunn v. 243930 Alberta Ltd., Crook v. 243930 Alberta Ltd. (C.A.); Berardinelli v. Ontario Housing Corp., [1979] 1 S.C.R. 275, 90 D.L.R. (3d) 481, 8 C.P.C. 100, 23 N.R. 298; Bos v. James (1995), 22 O.R. (3d) 424, 11 M.V.R. (3d) 295 (Gen. Div.) [supp. reasons 23 O.R. (3d) 575, 11 M.V.R. (3d) 295n (Gen. Div.)]; Canadian Indemnity Co. v. British Columbia (Attorney General), [1977] 2 S.C.R. 504, 73 D.L.R. (3d) 111, [1976] 5 W.W.R. 748, 30 C.P.R. (2d) 1, 11 N.R. 466; Hernandez v. Palmer, [1993] I.L.R. 1-2905, 46 M.V.R. (2d) 26 (Ont. Gen. Div.); John Deere Plow Co. v. Wharton, [1915] A.C. 330, 18 D.L.R. 353, 7 W.W.R. 706 (P.C.); Leszczynski v. Clark (1993), 17 O.R. (3d) 451, 3 M.V.R. (3d) 96 (Gen. Div.); Manitoba v. Air Canada, [1980] 2 S.C.R. 303, 111 D.L.R. (3d) 513, 4 Man. R. (2d) 278, 32 N.R. 244, [1980] 5 W.W.R. 440; Martin v. Listowel Memorial Hospital (1992), 9 O.R. (3d) 65, 93 D.L.R. (4th) 452, 9 C.P.C. (3d) 183 (C.A.), leave to appeal to S.C.C. refused 19 C.P.C. (3d) 23n; Meyer v. Bright (1993), 15 O.R. (3d) 129, 110 D.L.R. (4th) 354, 48 M.V.R. (2d) 1 (C.A.) [leave to appeal to S.C.C. refused (1994), 17 O.R. (3d) xvi, 172 N.R. 160n]; Morguard Investments Ltd. v. De Savoye, [1990] 3 S.C.R. 1077, 76 D.L.R. (4th) 256, 52 B.C.L.R. (2d) 160, 122 N.R. 81, [1991] 2 W.W.R. 217, 46 C.P.C. (2d) 1, 15 R.P.R. (2d) 1; Phillips v. Nova Scotia, [1995] 2 S.C.R. 97, 124 D.L.R. (4th) 129, 141 N.S.R. (2d) 1, 180 N.R. 1, 403 A.P.R. 1, 28 C.R.R. (2d) 1, 98 C.C.C. (3d) 20, 39 C.R. (4th) 141 sub nom. Phillips v. Richard; Reference re Upper Churchill Water Rights Reversion Act, [1984] 1 S.C.R. 297, 8 D.L.R. (4th) 1, 47 Nfld. & P.E.I.R. 125, 53 N.R. 268, 139 A.P.R. 125 sub nom. Churchill Falls (Labrador) Corp. v. Newfoundland (Attorney General); Winner v. S.M.T. (Eastern) Ltd., [1951] S.C.R. 887

Statutes referred to

Constitution Act, 1867, s. 92(13)

Insurance Act, R.S.O. 1990, c. I.8, ss. 1, 39(1), 72, 121(1), paras. 9, 10, 224(1), 239, 241, 243, 266

Interpretation Act, R.S.O. 1990, c. I.11, s. 10
Law of Property Act, R.S.A. 1980, c. L-8, s. 41(1)

Rules and regulations referred to

No-Fault Benefits Schedule, O. Reg. 672/90, ss. 2 "insured automobile", "insured person", 4 -- now Statutory Accident Benefits Schedule -- Accidents Before January 1, 1994, R.R.O. 1990, Reg. 672, as renamed by O. Reg. 779/93, s. 1
Rules of Civil Procedure, R.R.O. 1990, Reg. 194, rule 22.01

Authorities referred to

Castel, J.-G., "Back to the Future! Is the 'New' Rigid Choice of Law Rule for Interprovincial Torts Constitutionally Mandated?" (1995), 33 Osgoode Hall L.J. 35, pp. 66, 75, 76
Castel, J.-G., Canadian Conflict of Laws, 3rd ed. (Markham: Butterworths, 1994), pp. 6-7
Hogg, P.W., Constitutional Law of Canada, 3rd ed. (Toronto: Carswell, 1992), p. 13-4
Sullivan, R., Driedger on the Construction of Statutes, 3rd ed. (Markham: Butterworths, 1994), pp. 298-99, 370-71

MOTION for the determination of a question of law.

W.R. Sherwood, Q.C., for plaintiff.
Thomas C. Wright, Q.C., for defendant.

CUMMING J.: --

Introduction

This case involves a trial before a jury. The defendant admits that he is responsible for the accident out of which the action arises. The only issues for determination by the jury relate to the nature and extent of the plaintiff's injuries and damages. The hearing before the jury commenced November 1, 1995, and continued to November 8, 1995 when the jury rendered

its answers to the questions put to it.

The defendant has brought two motions. First, a motion is brought under rule 22.01 of the Rules of Civil Procedure to have a question of law determined in the form of a special case. The defendant seeks a declaration that s. 266 of the Insurance Act, R.S.O. 1990, c. I.8, applies to the issues to be determined. The court is advised this motion raises an issue of first instance.

This motion was returned October 31, 1995. By agreement of counsel the trial commenced as scheduled November 1, 1995, with further argument being heard in respect of this motion November 9, 1995.

This motion requires the court to interpret the language of s. 266(1) to determine whether it prevents the defendant from being held liable in this action in Ontario for loss or damage from bodily injury suffered by the plaintiff in a motor vehicle accident in British Columbia.

The defendant pleads and relies upon what is currently s. 266(1) of the Insurance Act. That provision reads:

266(1) In respect of loss or damage arising directly or indirectly from the use or operation, after the 21st of June, 1990, of an automobile and despite any other Act, none of the owner of an automobile, the occupants of an automobile or any person present at the incident are liable in an action in Ontario for loss or damage from bodily injury arising from such use or operation in Canada, the United States of America or any other jurisdiction designated in the No-Fault Benefits Schedule involving the automobile unless, as a result of such use or operation, the injured person has died or has sustained,

(a) permanent serious disfigurement; or

(b) permanent serious impairment of an important bodily function caused by continuing injury which is physical in nature.

(Emphasis added)

The second motion relates to s. 266 as well. The defendant seeks a determination at trial under s. 266(3) whether the plaintiff has, as a result of the accident, sustained "permanent serious impairment of an important bodily function caused by continuing injury which is physical in nature" within the meaning of s. 266(1)(b). Defendant submits that the plaintiff has not met this criterion and therefore does not meet the so-called threshold so as to bring himself within any exception to s. 266(1). Defendant therefore submits that the plaintiff's action cannot succeed in Ontario because of the bar legislated by s. 266(1).

The second motion was made after the verdict of the jury was rendered but prior to any motion for judgment to be entered in accordance with that verdict. Notice had been given by counsel for the defendant that this second motion would be made after the jury had concluded its role.

The defendant must be successful in respect of both motions for the defendant to nullify the decision of the jury.

Introduction to Motion under Rule 22.01

The parties to this action have concurred in stating a question of law in the form of a special case and, with the defendant as the moving party, they seek to have a determination of the special case under rule 22.01.

Factual Background

This case arises out of a motor vehicle accident occurring May 8, 1991. The accident occurred in Vancouver, British Columbia. The defendant, Thomas P. Leimer, resides in that province. The plaintiff, Ronald Hurst, a resident of Ontario, was a visitor to British Columbia at the time. Mr. Hurst was a passenger in a vehicle owned and operated by another resident of British Columbia, being William Dempster. This vehicle was struck in the rear by the motor vehicle of the defendant. Mr.

Hurst suffered personal injuries.

The plaintiff brought this action in Ontario. The defendant in his statement of defence "admits that he is responsible for the motor vehicle collision out of which this action arises".

The Issues

The motion is for:

- (1) The judicial determination of the applicability of s. 266 of the Insurance Act to the within action or, alternatively, whether the law of the province of British Columbia applies; and
- (2) A declaration as to whether or not s. 266 is in excess of the power granted to the Ontario legislature by the Constitution Act, 1867, s. 92.

At first impression, a plain reading of s. 266(1) suggests arguably that the plaintiff's loss or damage arises from the use or operation of an automobile in respect of which the plaintiff was an occupant, yet the defendant cannot be liable for this "action in Ontario" because the plaintiff's claim relates to "loss or damage from bodily injury arising from such use or operation in Canada" (unless the plaintiff can bring himself within one of the stated exceptions, this being the question to be determined by the second motion).

The Proper Interpretation of Section 266(1)

In my view, s. 266(1) does not apply to bar the plaintiff's action. I make this finding on a basis of statutory interpretation. Section 266(1) should be interpreted so as to: be consistent with the choice of law rules as settled by the Supreme Court of Canada; effectuate the underlying legislative purpose; and be consistent with the requirements of the Canadian Constitution.

The Choice of Law Rules

I shall now consider the choice of law rules applicable to a situation where there is a motor vehicle accident in one province and a passenger occupant who is a resident in another province brings his action in his province of residence. The recent case of *Tolofson v. Jensen*, [1994] 3 S.C.R. 1022, 120 D.L.R. (4th) 289, dealt authoritatively with the issue as to which law should govern in cases involving the interests of more than one provincial jurisdiction as concerning automobile accidents.

Under the rules of private international law the applicable substantive law is normally the place where the tort arises or *lex loci delicti*. This is the place where the defining activity occurred that gives rise to the claim of a civil wrong in tort. This approach is a practical one for several reasons, including that it prevents forum shopping and creates certainty in the law. As well, this approach accords with the reasonable expectations of the persons involved. It also responds to the territorial principle underlying both the international legal order and the federal regime in Canada. The provinces exercise territorial legislative jurisdiction. An act committed in one province should be given the same effect throughout Canada. Application of the *lex loci delicti* has the advantage of conforming to the requirements of the Canadian Constitution.

In *Tolofson* a passenger in a vehicle registered and insured in British Columbia was injured in an accident in Saskatchewan involving a collision with a vehicle registered and insured in Saskatchewan and driven by a Saskatchewan resident. The victim sought to avoid the limitation period and the higher standard of care in Saskatchewan by bringing his action in British Columbia which was free of those restrictions.

The *Tolofson* decision stands for the rule that interprovincial torts are governed exclusively by the law of the place of the tort, being where the wrongful activity occurred and there are no exceptions. The *lex loci delicti* applies to the definition of the obligation and its consequences, that is, the rights and liabilities of the parties including questions of remoteness and heads of damage.

In the case at hand, British Columbia is the place where both the wrongful activity and the injury occurred. There has not been any contention by the defendant that this court, being in Ontario, is without jurisdiction or should decline jurisdiction as being a forum non conveniens. If either such contention had been made, in my view it would not have been successful. It is purposeful to accommodate its residents and the movement of people for every province to open its domestic court as a forum for the resolution of specific legal disputes arising in other provinces or elsewhere.

As La Forest J. states in *Tolofson* (at p. 1070 S.C.R., p. 320 D.L.R.):

The court takes jurisdiction not to administer local law, but for the convenience of litigants, with a view to responding to modern mobility and the needs of a world or national economic order.

Moreover, the Supreme Court of Canada "has a superintending role over the interpretation of all laws, federal and provincial, and can thus ensure the harmony that can only be achieved on the international level in the exercise of comity" (per La Forest J. at p. 1048 S.C.R., p. 303 D.L.R.).

When applying foreign law it is critical to characterize the rules of law under consideration as substantive or procedural. The rights of the parties are determined by the substantive law of the foreign jurisdiction whereas all matters of procedure are governed exclusively by the *lex fori*, that is, the law of the forum. In *Tolofson* it was held that a statute of limitation should be considered as substantive law, and hence the *lex loci delicti* should govern a limitation defence.

The *Tolofson* decision also removes the requirement of actionability by the *lex fori*. La Forest J. stated in *Tolofson*, *supra*, at p. 308, that given the *lex loci delicti* rules of law will govern the obligation and its consequences, the requirement seen in the old English common law that the wrong must also be a tort under English law (that is, under the law of the forum) "might be a factor better weighed in considering

the issue of forum non conveniens . . . rather than an issue of choice of law". La Forest J. emphasized (pp. 1054-55 S.C.R., p. 308 D.L.R.):

Certainly where the place of the wrong and the forum are both in Canada, I am convinced that the application of the forum non conveniens rule should be sufficient. I add that I see a limited role, if any, for considerations of public policy in actions that take place wholly within Canada.

To be constitutionally valid, statutory provisions applicable to interprovincial torts must conform to both the demands of territoriality and also the principles of order and fairness. The latter principles have their source in the notions of full faith and credit and due process which have been held to be implicit in the Canadian Constitution: see *Morguard Investments Ltd. v. De Savoye*, [1990] 3 S.C.R. 1077 at p. 1101, 76 D.L.R. (4th) 256.

La Forest J. states in *Tolofson* (at pp. 1064-66 S.C.R., pp. 315-16 D.L.R.):

The nature of our constitutional arrangements -- a single country with different provinces exercising territorial legislative jurisdiction -- would seem to me to support a rule that is certain and that ensures that an act committed in one part of this country will be given the same legal effect throughout the country. This militates strongly in favour of the *lex loci delicti* rule. . . .

.

The approach I have suggested also has the advantage of unquestionable conformity with the Constitution. . . .

.

Thus an attempt by one province to impose liability for negligence in respect of activities that have taken place wholly in another province by residents of the latter . . . would give rise to serious constitutional concerns.

I categorize the bar in s. 266(1) of the Insurance Act as substantive rather than procedural. As with the modern view in respect of statutes of limitation, the prohibition in s. 266(1) removes substantive rights. It is not properly regarded merely as being directed at the remedy and thus procedural in nature. The law that defines the character and consequences of the tort is therefore the *lex loci delicti*.

A decision by the Ontario Court of Appeal is to the same effect as *Tolofson*, albeit dealing with a claim in contract. In *243930 Alberta Ltd. v. Wickman* (1990), 75 O.R. (2d) 289, 73 D.L.R. (4th) 474, individual Ontario residents who were purchasers of units in an Alberta building from an Ontario resident corporation were sued upon their personal covenants in respect of mortgages given as security. Each mortgage contained a clause waiving s. 41(1) of the Law of Property Act, R.S.A. 1980, c. L-8, which bars a mortgagee from suing on the covenant in a mortgage. The Ontario Court of Appeal held that the proper law of the contract was the law of Alberta and that s. 41(1) of the Act was substantive, not procedural. That provision limits the remedies of the mortgagee to the real property and abolishes the personal remedy. Hence, an Ontario court must apply the provision in the Alberta statute. The purchasers/mortgagors were persons protected by s. 41(1). As well, the waivers were void given the protection afforded by the law of the situs. The court held, per McKinlay J.A. at p. 306 O.R., p. 491 D.L.R., "that there is no public policy rule in Ontario which would preclude" the purchasers from the protection provided by the Alberta statute.

To allow the defendant's motion and declare that s. 266(1) is a bar to the plaintiff's action would give a result that is in conflict with the choice of law rules as determined by the Supreme Court of Canada in *Tolofson*.

Section 92(13), Constitution Act, 1867

The power of the legislature to enact the Insurance Act appears to be through s. 92(13) of the Constitution Act, 1867 -- "Property and Civil Rights in the Province".

In P.W. Hogg, *Constitutional Law of Canada*, 3rd ed. (Toronto: Carswell, 1992), it is made clear that the territorial reach of provincial powers under s. 92 is limited. Professor Hogg states, at p. 13-4, that:

. . . in a federal system it is obvious that a province, whose government is elected by and responsible to only those people within its territory, should not have extensive powers outside its territory where other provincial governments have a better claim to govern. It is not surprising to find, therefore, that the Constitution Act, 1867 couches provincial legislative power in terms which rather plainly impose a territorial limitation on the scope of the power.

J.-G. Castel, *Canadian Conflict of Laws*, 3rd ed. (Markham: Butterworths, 1994), at pp. 6-7, states clearly that the scope of s. 92(13) is to be limited and given its plain meaning:

. . . the Judicial Committee of the Privy Council and the Supreme Court of Canada have interpreted the Constitution Act so as to strike down unreasonable attempts by one province to disregard the interests of other provinces or the general interests of Canada on the international level.

.

Most cases deal with the scope of the exclusive powers of the provincial legislatures as the Constitution Act limits provincial power to matters "in the province". . . .

Since Canadian provinces lack the power to legislate extraterritorially, territoriality can be used as an instrument of the constitutional control over provincial conflict of laws rules.

(Footnotes omitted)

Legislation should not be read in a manner that would make it unconstitutional. Section 266(1) of the Insurance Act is therefore to be read in a manner consistent with s. 92(13) of

the Constitution Act, 1867, and consistent with the territorial limitations of the Ontario legislation.

However, in *Reference re Upper Churchill Water Rights Reversion Act*, [1984] 1 S.C.R. 297, 8 D.L.R. (4th) 1, the Supreme Court held that a provincial government may impair extraprovincial rights if it is merely an incidental effect of a validly enacted provincial statute. The argument could perhaps be made in respect of s. 266(1) that the legislation validly impairs extraprovincial rights because this is only an incidental effect to the validly enacted legislation.

Professor Hogg, in discussing the concept of "pith and substance", mentions that a provincial insurance law may validly restrict or stop activities of federally incorporated companies, although such companies are normally within the jurisdiction of the federal government: see *Canadian Indemnity Co. v. British Columbia (Attorney General)*, [1977] 2 S.C.R. 504 at p. 512, 73 D.L.R. (3d) 111, where Martland J., speaking for the court, held:

The purpose of the legislation in question is to provide for the compulsory insurance of motor-vehicles registered in British Columbia . . . through a corporation incorporated in British Columbia, which is a government controlled monopoly. It controls the business of automobile insurance in British Columbia.

The impact of the legislation upon the appellants' automobile insurance business in British Columbia could not be more drastic. However, that effect of the legislation upon companies whose operations are interprovincial in scope does not mean that the legislation is in relation to interprovincial trade and commerce. The aim of the legislation relates to a matter of provincial concern within the Province and to property and civil rights within the Province.

As McIntyre J. stated for the court at p. 332 S.C.R., p. 30 D.L.R. of *Churchill Water Rights*, *supra*:

Where the pith and substance of the provincial enactment is in relation to matters which fall within the field of provincial legislative competence, incidental or consequential effects on extraprovincial rights will not render the enactment ultra vires.

The facts seen in the case at hand would not often arise, especially compared to the voluminous cases which clearly fall within the purview of Ontario jurisdiction. However, in my view if s. 266(1) can be construed reasonably as not affecting rights properly governed by British Columbia law, then the narrower construction is the preferred one from the standpoint of constitutional principles and canons of statutory interpretations. I now turn to consider the purpose of the threshold provisions of the Insurance Act; the context of the Act; and general principles of statutory interpretation.

The Legislative Purpose Underlying s. 266(1)

The Court of Appeal has set forth the legislative purpose in respect of s. 266 in *Meyer v. Bright* (1993), 15 O.R. (3d) 129 at p. 134, 110 D.L.R. (4th) 354:

In our view, the Ontario legislature enacted s. 266 and other related amendments to the Act for the purpose of significantly limiting the right of the victim of a motor vehicle accident to maintain a tort action against the tortfeasor. The scheme of compensation provides for an exchange of rights wherein the accident victim loses the right to sue unless coming within the statutory exceptions, but receives more generous first-party benefits, regardless of fault, from his or her own insurer.

The purpose of the threshold provisions in the Insurance Act was considered in depth in *Hernandez v. Palmer* (1992), 46 M.V.R. (2d) 26, [1993] I.L.R. 1-2905 (Ont. Gen. Div.).

Stayshyn J. considered the legislative history and stated at p. 31 that:

The introduction of the Insurance Act's threshold no-fault

system in 1990 represented the culmination of many years of deliberation over the most effective way to structure automobile accident victims' compensation in Ontario. It is to be noted that over a period of some fifteen years, six major government-sponsored studies examined this issue.

He went on to consider the studies and reports conducted in Ontario over the years on this issue. The model adopted was explained at p. 35:

Finally, in 1988, the Ontario Government referred three model no-fault schemes to the Ontario Automobile Insurance Board (OAIB) for consideration. The OAIB's Report, released in July 1989, recognized that there was a need to increase existing no-fault benefits in Ontario, and acknowledged that this could not be accomplished within the framework of the existing compensation regime without raising premiums.

The result was that in 1990 (p. 37):

. . . the Ontario Legislature enacted the Insurance Statute Law Amendment Act, 1990, S.O. 1990, c. 2 to institute a threshold no-fault system for compensating automobile accident victims in Ontario (generally known as the Ontario Motorists' Protection Plan or OMPP).

.

It is clear that the OMPP represents a fundamental shift in approach from the previous regime. The right to sue in tort has been curtailed and substantially enhanced no-fault benefits are now payable on a first-party basis to all persons suffering injury in an automobile accident, regardless of ability to prove fault.

The OMPP system was adopted by the Ontario Legislature to correct the perceived deficiencies in the tort-based compensation system (e.g. unpredictability and misallocation of compensation, delays in recovery and high costs) and in response to concerns about rising automobile insurance premiums.

The current no-fault scheme is a marked departure from the old rule, under which "there was an unrestricted right to sue tortfeasors for bodily injury claims, including death" (at p. 37).

I also note that the Interpretation Act, R.S.O. 1990, c. I.11, s. 10, states that

10. Every Act shall be deemed to be remedial, whether its immediate purport is to direct the doing of anything that the Legislature deems to be for the public good or to prevent or punish the doing of any thing that it deems to be contrary to the public good, and shall accordingly receive such fair, large and liberal construction and interpretation as will best ensure the attainment of the object of the Act according to its true intent, meaning and spirit.

Statutory and Regulatory Context

Various provisions of the Act evidence that the legislation intended that the reach of the Act is confined to regulating Ontario insurers and motor vehicle policies issued in Ontario. Part II of the Insurance Act contains the heading "General Provisions Applicable to Insurers". Section 39(1) reads:

39(1) This Part applies to insurance undertaken in Ontario and to all insurers carrying on business in Ontario.

Section 72 defines an "Ontario contract" as a subsisting contract of insurance that has for its subject "(i) property that at the time of the making of the contract is in Ontario or is in transit to or from Ontario, or (ii) the . . . insurable interest of a person who at the time of the making of the contract is resident in Ontario". An "insured person" is defined as someone insured by a contract for whose benefit proceeds of a contract are payable or who is entitled under the Act to have insurance money payable to him or her under a contract.

Part VI deals with the specific subject of automobile

insurance. Section 224(1) defines "automobile" in that Part to include a motor vehicle required to be insured under a "motor vehicle liability policy", which term is defined in s. 1 as meaning a policy evidencing a contract of automobile insurance insuring an owner or driver or someone else operating the automobile on behalf of either the owner or driver. Sections 239 and 241 set out the coverages to be provided respectively by an owner's and a non-owner's policy. Section 243 provides that such coverages apply to the use or operation of the automobile within Canada and the United States.

Section 121(1), para. 9 authorizes the Lieutenant Governor in Council to make regulations establishing benefits that must be provided under contracts evidenced by motor vehicle policies covered by Part VI. The regulations made under paras. 9 and 10 of s. 121(1) are defined collectively by s. 224(1) as the Statutory Accident Benefits Schedule -- Accidents Before January 1, 1994 (formerly the No-Fault Benefits Schedule).

The No-Fault Benefits Schedule, O. Reg. 672/90, was enacted by regulation to flesh out the intended no-fault scheme. Various definitions therein include:

2. . . .

"insured automobile", in respect of a particular motor vehicle liability policy, means the described automobile . . . all as defined by the policy:

"insured person", in respect of a particular motor vehicle liability policy, means,

.

(b) in respect of accidents outside Ontario, a person living and ordinarily present in Ontario who is an occupant of the insured automobile,

(c) the named insured, his or her spouse and any dependant of either of them while the occupant of any other automobile.

Section 4 of the schedule provides that the benefits set out therein "will be provided under every contract evidenced by a motor vehicle liability policy".

Section 266(1) uses the term "the owner of an automobile". The word "owner" is not defined in the Act. However, the term "automobile" is defined in both the general definitions section of the Act, being s. 1, and also in s. 224(1), being the definition section for Part VI which relates to the specific topic of "Automobile Insurance". The definition of the word "automobile" together with the other quoted terms linked by definition to the word "automobile" have the overall impact, in my view, of intending to limit the use of the word "automobile" in s. 266(1).

In my opinion, and I so find, in respect of accidents outside Ontario the word "automobile" is used to apply to only those automobiles that are covered by issued motor vehicle liability policies which come within the limits of the constitutional reach of the Ontario legislature under s. 92(13), Constitution Act, 1867. The plaintiff in the case at hand, Ronald Hurst, was not an occupant within such an automobile. Nor was the automobile in which he was an occupant struck by such an automobile.

In the factual situation at hand there was no evidence to suggest that the plaintiff was an occupant of an "insured automobile", and in fact a reasonable inference to the contrary can be made. As well, there was no evidence to suggest that either the plaintiff or the defendant was an "insured person". Rather, a reasonable inference to the contrary can be made. There was no evidence that either the plaintiff or the defendant was a "named insured" or a person related thereto. Again, a reasonable inference can be made to the contrary. There was no evidence that the plaintiff received any "benefits" payable under the Ontario statutory no-fault scheme. Again, the reasonable inference is that he was not entitled to any such "benefits". There was no evidence that any vehicle involved was an "insured automobile". Again, a reasonable inference can be made to the contrary.

Statutory Interpretation

I rely upon the canon of statutory interpretation whereby there is a presumption against limiting rights of action under the common law when two interpretations are possible, one of which is more in favour of the preservation of rights.

In R. Sullivan, *Driedger on the Construction of Statutes*, 3rd ed. (Markham: Butterworths, 1994), the author states that the presumption against interfering with rights applies to various types of situations. It applies to the right to bring an action or an appeal: see *Martin v. Listowel Memorial Hospital* (1992), 9 O.R. (3d) 65 at p. 68, 93 D.L.R. (4th) 452 (C.A.), leave to appeal to S.C.C. dismissed October 21, 1993, 19 C.P.C. (3d) 23n, as well as to defences or immunities: see *Berardinelli v. Ontario Housing Corp.*, [1979] 1 S.C.R. 275 at p. 280, 90 D.L.R. (3d) 481 at p. 492.

At pp. 298-99 of *Driedger*, the author states:

Several of the common law presumptions of legislative intent relate to the legislature's presumed respect for the common law. These include the presumption that legislation is not meant to interfere with common law rights, nor to oust the jurisdiction of common law courts nor, generally, to change the common law. As explained in *Halsbury* in a formulation adopted by Canadian courts:

Except in so far as they are clearly and unambiguously intended to do so, statutes should not be construed so as to make any alteration in the common law or to change any established principle of law.

These presumptions permit the courts to insist on precise and explicit direction from the legislature before accepting any change. The common law is thus shielded from legislative encroachments that appear to be inadvertent or are unacceptable to the courts.

And at pp. 370-71 of *Driedger*, this passage is found:

It is presumed that the legislature does not intend to abolish, limit or otherwise interfere with the rights of subjects. Legislation that curtails rights is strictly construed. This presumption was explained by Estey J. in *Morguard Properties Ltd. v. City of Winnipeg*:

. . . the courts require that, in order to adversely affect a citizen's right, whether as a taxpayer or otherwise, the Legislature must do so expressly. . . . The resources at hand in the preparation and enactment of legislation are such that a court must be slow to presume oversight or inarticulate intentions when the rights of the citizen are involved [(1983), 3 D.L.R. (4th) 1, at 13 (S.C.C.)].

I confine my interpretation of s. 266 to the factual situation at hand. To interpret s. 266 otherwise and find that it constitutes a bar to the plaintiff's action would constitute a paradox. With such interpretation the purpose of the legislature would be defeated. The plaintiff would receive no statutory no-fault first-party benefits from an insurer. The innocent plaintiff would be denied benefits through his tort action against the defendant (unless he comes within an exception to s. 266(1), the subject of the second motion), an admitted tortfeasor. The overall impact would not influence automobile insurance premiums in respect of Ontario motor vehicle liability policies. Rather, the result would be a windfall for the defendant (or his insurer, if he is insured by a British Columbia motor vehicle liability policy). The overall purpose of the Ontario scheme underlying s. 266 would be defeated and the opposite result to the remedy intended by the Ontario statutory no-fault scheme would be obtained.

I do not suggest an outcome for a hypothetical situation where the tort occurs in British Columbia but there is an "insured automobile" or "insured person" under an Ontario contract of automobile insurance. The Supreme Court has warned against dealing with questions that are not necessary to decide on the facts: see for example *Manitoba v. Air Canada*, [1980] 2 S.C.R. 303 at p. 320, 111 D.L.R. (3d) 513, where Laskin C.J.C. stated:

In view of this conclusion, I find it unnecessary to deal with the question whether the tax . . . is a direct tax. Although the Court ordered a rehearing with particular reference to this question, I think it preferable to avoid dealing with it, in conformity with the general rule in constitutional cases not to engage issues which do not squarely arise for decision.

See also *Winner v. S.M.T. (Eastern) Ltd.*, [1951] S.C.R. 887; *John Deere Plow Co. v. Wharton*, [1915] A.C. 330, 18 D.L.R. 353 (P.C.); *Phillips v. Nova Scotia*, [1995] 2 S.C.R. 97, 124 D.L.R. (4th) 129.

One scholar argues that a "good case could be made for displacing the *lex loci delicti* with respect to loss distribution when all the parties reside or are domiciled in the forum": J.-G. Castel, "Back to the Future! Is the 'New' Rigid Choice of Law Rule for Interprovincial Torts Constitutionally Mandated?" (1995), 33 *Osgoode Hall L.J.* 35, at p. 75 (the "Castel article").

One of the main characteristics of modern private international law has been to apply the law that has the most real and substantial connection: see Castel article, *supra*, at p. 76. The essential question is viewed as being -- is the applicable law really and substantially connected to the occurrence and the parties? Professor Castel is of the view that the law of the common residence of the parties may be the law most substantially connected with respect to loss distribution when the place of the tort is simply fortuitous and as such not relevant except to determine the conduct of the wrongdoer: Castel article, *supra*, at p. 66.

Professor Castel (p. 66 of Castel article) sees Tolofson as "an unnecessary attempt to constitutionalize the common law choice of law rule applicable to interprovincial torts".

The issue may later arise whether or not s. 266(1) would be operative given the Tolofson choice of law regime in a situation such as the hypothetical one posed where the tort

occurs in British Columbia but there is an "insured automobile" or "insured person" under an Ontario contract of insurance. Another possible issue for future determination is whether in such a situation s. 266(1) could remove the plaintiff's right in tort under British Columbia law in the Ontario forum and whether to do so is within the constitutional power of the Ontario legislature under s. 92(13) of the Constitution Act, 1867.

Conclusion

For the reasons given, I find as follows:

- (1) This court makes a declaration that the proper choice of law to be applied in this action is the substantive law of British Columbia. Section 266(1) of the Insurance Act of Ontario is substantive law, not procedural law. The procedural law of Ontario, the *lex fori*, applies, but not the substantive law. Hence, s. 266(1) does not apply to the instant factual situation;
- (2) Section 266(1) of the Insurance Act is properly read and construed, based on the principles of statutory interpretation, as not applying to prevent the plaintiff from bringing a successful action in Ontario in respect of the tort committed by the defendant in British Columbia; and
- (3) It is not necessary to a determination of this case, to express an opinion whether it would be in excess of the powers granted to the Ontario legislature by s. 92(13) of the Constitution Act, 1867 to enact a statutory bar to the plaintiff whereby in the factual circumstances seen in this case a defendant resident of British Columbia could not be liable in an action in Ontario for a tort committed by the defendant in British Columbia unless a plaintiff was first able to bring herself or himself within a statutory exception mirroring one of those seen in s. 266(1) of the Insurance Act.

The Motion under s. 266(3)

The second motion by the defendant relates to s. 266 as well. If I am correct in respect of my determination under the first motion, then the determination in respect of the second motion has no import because s. 266(1) has no application to the plaintiff's case. However, if I am incorrect in my ruling in respect of the first motion then a determination of the issue raised in the second motion is critical.

Defendant seeks a determination at trial under s. 266(3) as to whether the plaintiff comes within the exception of 266(1) (b). Specifically, the issue is whether the plaintiff has, as a result of the accident, sustained "permanent serious impairment of an important bodily function caused by continuing injury which is physical in nature".

The decision in *Meyer v. Bright*, supra, governs the approach to determine the outcome of this motion. The appropriate inquiry in making this determination is to answer sequentially the following questions:

- (1) Has the injured person sustained permanent impairment of a bodily function caused by continuing injury which is physical in nature?
- (2) If the answer to question (1) is yes, is the bodily function, which is permanently impaired, an important one?
- (3) If the answer to question (2) is yes, is the impairment of the important bodily function serious?

I shall deal with each of these questions in turn.

The First Question

Mr. Hurst was 34 years of age at the time of the accident. He was a passenger in the right front seat in a vehicle stopped at an intersection in Vancouver on his way to the airport when the vehicle was struck violently without warning from the rear and driven into the vehicle ahead. Mr. Hurst had his seat belt fastened. The impact was such that the backs of both front

seats were broken off and the doors were opened afterwards with some difficulty. The vehicle in which the plaintiff was an occupant was written off as a result of the collision, about \$5,000 damage being done to it.

Mr. Hurst testified that his back and neck were injured in this motor vehicle accident. He said that he continued by taxi to the Vancouver airport after the accident. He said that there was soreness in his back and neck that grew progressively worse on his flight home. Mr. Hurst went to the emergency department at St. Michael's Hospital in Toronto at about 3:00 a.m. the next morning.

The following day, May 10, Mr. Hurst saw his family physician, Dr. Michael Dales. At this point, Mr. Hurst says his neck and back were sore and stiff and he had headaches as well as some numbness in his right arm and shoulder. Dr. Dales prescribed Tylenol and rest with stretching exercises. Dr. Dales saw Mr. Hurst several times and used hypnotherapy on three occasions to alleviate the pain. Dr. Dales prescribed physiotherapy and Mr. Hurst took physiotherapy treatments over some eight months to March of 1992. Mrs. Mary Wilson testified as to the treatments given.

Dr. Vincent Riccardi, chiropractor, then gave Mr. Hurst numerous chiropractic treatments from March 1992 onwards. He testified that his tests on examination of Mr. Hurst suggested that the facet joints in his cervical spine were injured.

Dr. Rasunas Saplis, orthopedic surgeon, examined Mr. Hurst in March 1992. Dr. Saplis found a decreased range in neck movement of 10 to 15 per cent in all directions, and tightness in the neck with spasms or involuntary contractions. The x-rays taken showed no fractures. Dr. Saplis diagnosed an injury to the soft tissue ligaments and muscles in the neck and back. A report by Dr. Chou, a neurologist, was put in evidence. Dr. Chou could not find any neurological abnormalities.

Mr. Hurst graduated from Grade XIII, took art classes for two years at Georgian College in Ontario, and at 22 became a full-time real estate salesperson in the Hamilton area. At age 27

he went to the University of Waterloo in 1984 and studied business and music. Mr. Hurst left Waterloo after four terms, failing his exams in the final term, and went to Vancouver where he worked in sales.

Mr. Hurst returned to the University of Waterloo in January 1989, working towards a degree of Bachelor of Independent Studies. While he completed his course work in April 1990, his thesis is as yet not completed.

The plaintiff had started playing squash at age 22. He improved quickly and played a total of five years at the University of Waterloo, winning a bronze medal in 1989 for being considered the third best university player in Ontario that year.

Mr. Hurst testified that in Vancouver in 1986 he had won his first major squash tournament and began to think of a possible career as a squash professional, teaching and competing.

Mr. Hurst returned to Toronto from Vancouver and again took up selling real estate. He then went into telemarketing during the mornings while playing squash in the afternoons. In the year preceding the accident he worked as a squash professional at the Oxford Club in Toronto for about a ten-month period ending in February 1991. Over part of this period he also took lessons from a professional player and teacher, Ken Binns, who has been one of the world's top players. Mr. Hurst was anxious to improve his level of play and ranking so that he could give himself as much security as possible for a future as a squash professional with a squash club.

Mr. Hurst was competing in squash tournaments on a regular basis at the time of the accident in May 1991. He was seeded 19th in the Canadian nationals at Calgary a short while before the accident. A ranking issued following the accident put him at No. 171 in the world.

Mr. Hurst testified that as a result of the accident his back and neck became very sore when he tried to do workouts or play a hard game of squash. He says that even today they are sore if

he sits for any length of time or tries to do much exercise. He says that his muscles in his neck and back tighten and knot up through and into his hips.

Mr. Hurst says he tried to continue to play squash following the accident, in the summer and fall of 1991, and went into three tournaments. However, by the beginning of October 1991, he decided that he could not continue playing at a competitive level because of the pain. Mr. Hurst says that there is no possibility of his getting back into a job of being a squash professional because, due to the continuing effect of his injuries, he just cannot train so as to get as fit or into as good shape as is necessary. He testified he has trouble bending down and would constantly aggravate the pain due to the turning and twisting inherent to the game of squash. Mr. Hurst testified that he has constant pain in his neck with the pain sometimes radiating to his hand. He testified that he still gets frequent headaches.

Several squash professionals, and his former employer at the Oxford Club, testified as to Mr. Hurst's abilities as a squash player and his opportunities as a squash professional. All were quite complimentary. Their evidence suggests a reasonable possibility that Mr. Hurst could have had a career as a club squash professional.

The plaintiff submits that the injuries suffered from the accident have prevented him from pursuing his intended career as a squash professional and from continuing to enjoy this main activity in his life.

Mr. Hurst also testified that he has played the violin since his mid-teens. He has participated in bands to earn some of his income. He says that he holds the violin with his neck in a twisted position and that since the accident it is difficult to maintain this position for any length of time while practising. It is necessary to stop and stretch. He says his middle two fingers on his left hand do not react as well in pressing on the violin strings as they did before the accident. He says that he finds it hurts his shoulder, neck and back to carry heavy musical equipment.

There was a good deal of medical evidence. Dr. Charles Bull, who practises sports medicine, gave a diagnosis that Mr. Hurst had chronic involuntary muscle spasms or myofascial strain of the lower and upper back and neck. This is a strain in the muscle fibres where they attach, and indicates some microscopic damage of the individual muscle fibrils and little muscle bundles, creating the chronic spasm. In his opinion there has been an injury to the facet joints. In Dr. Bull's opinion there is some continuing injury of a physical nature.

The legislature has qualified "injury" in s. 266(1)(b) as being one that is both "continuing" and also as being one that "is physical in nature".

In Dr. Bull's opinion there is a continuing injury of a physical nature. He is of the view that the plaintiff is at a plateau in respect of his injury, and is not going to get better. Dr. Bull testified that in a significant rear-end motor vehicle accident there can be compression of the small facet joints in the spine. He is of the opinion that none of Mr. Hurst's symptoms are inconsistent with the nature of the accident. Dr. Bull testified that in his examinations of the plaintiff he could confirm Mr. Hurst's spasms.

The term "permanent" impairment connotes the sense of a weakened condition lasting into the indefinite future without any end limit, as opposed to a temporary impairment, being one predicted to have some defined end: see *Bos v. James* (1995), 22 O.R. (3d) 424 at p. 427, 11 M.V.R. (3d) 295 (Gen. Div.). It has now been four and one-half years since the accident. Dr. Bull is of the opinion that the plaintiff is significantly disabled in many aspects of his life, particularly squash. In his view, Mr. Hurst's condition has improved as much as is possible, has now plateaued out, and as time goes on through natural aging will tend to get worse. Dr. Bull's diagnosis finds that Mr. Hurst has sustained a permanent impairment of a bodily function.

Dr. Bull's assessment is buttressed by the evidence of Dr. Saplis, Dr. Dobs, the chiropractor Dr. Riccardi, and Mrs.

Wilson who is with the physiotherapy clinic.

Dr. Hugh Cameron, an orthopaedic specialist, interviewed and examined Mr. Hurst, October 28, 1994. Dr. Cameron's opinion is that Mr. Hurst suffered a "simple musculoligamentous strain" the natural history of which is improvement with the passage of time. In Dr. Cameron's opinion, there is nothing to find objectively. He emphasized that there is no disc injury. In Dr. Cameron's view Mr. Hurst's complaints are of a subjective nature. Dr. Cameron testified that Mr. Hurst suffered a soft tissue injury through a whiplash which is a hyperextension injury. Dr. Cameron said that such injuries generally get better. In Dr. Cameron's view, Mr. Hurst's symptoms suggest possibly a psycho-emotional problem.

Mr. Hurst's injuries have been diagnosed on the basis of both objective observations and his subjective complaints. In the case of a soft tissue injury such as that of Mr. Hurst, it is usual for the injured person to recover within a few months to a couple of years. However, this usual expectation is not always realized. Dr. Cameron's testimony allowed that some persons suffering such injuries may not gain full recovery. Dr. Bull is of the definite opinion that Mr. Hurst will not get better and, if anything, will probably get worse.

Based upon the medical and other evidence presented, I find that the plaintiff has proven on a balance of probabilities that he is an injured person by reason of the accident who has sustained permanent impairment of a bodily function caused by continuing injury which is physical in nature.

The Second Question

I turn then to the question as to whether the permanent impairment is "of an important bodily function". The word "important" qualifies "bodily function". The legislative intent expressed by the language of s. 266(1) is that the bodily function referred to must be one which is important to that particular injured person: *Meyer v. Bright*, supra, at p. 139. The legislation is aimed at bodily functions that play a major role in the health and general well-being of the

particular injured plaintiff.

There are some bodily functions which are important to some persons but not to others. What must be considered is the injured person as a whole and the effect which the bodily function involved has upon her or his way of life in the broadest sense of that expression.

In the case at hand, the soft tissue injury to the neck and back of the plaintiff has interfered significantly with the two major activities in his life -- being first, his ability to play squash as a professional at the highest level possible for pleasure and as the source of his livelihood, and, second, in playing his violin for pleasure and as an ancillary way of gaining a livelihood.

A bad back and neck are significant problems for any squash player, but particularly so for an aspiring professional. Mr. Hurst needs a healthy back and neck much more so than most others: see *Leszczynski v. Clark* (1993), 17 O.R. (3d) 451 at p. 454, 3 M.V.R. (3d) 96 (Gen. Div.).

The bodily function of the plaintiff, which is permanently impaired, is undoubtedly important to Mr. Hurst. I find as a fact that the bodily function in question is an important one within the meaning of the words used in s. 266(1)(b).

The Third Question

The final question requires a determination of whether the permanent impairment of an important bodily function is a "serious" impairment. The word "serious" qualifies the word "impairment". It does not relate to the word "injury". The question is whether the impairment is serious to the particular plaintiff, being Mr. Hurst in the instant situation.

I find on the evidence that Mr. Hurst has a "serious" impairment because his impairment is one which causes substantial interference with his ability to perform his usual daily activities and to continue his intended regular employment. The impairment has had a significant detrimental

effect upon his life. He was a highly skilled professional squash player and the impairment detrimentally affected his performance to such a degree that he could no longer attain the level of competence necessary for the continuance of his professional career as a squash player and teacher. As well, while his violin playing has been a secondary vocation to that of professional squash, the impairment has detrimentally affected his performance in this regard. The impairment has had a substantial interference with his ability to perform this activity such that his chances of success in respect of his musical career have been lessened.

Conclusion

For the reasons given, I determine that the injured plaintiff has, as a result of the accident, sustained permanent serious impairment of an important bodily function caused by continuing injury which is physical in nature. His action is allowed.

Order accordingly.

MVRT INST TRRT CIVT CNFT